

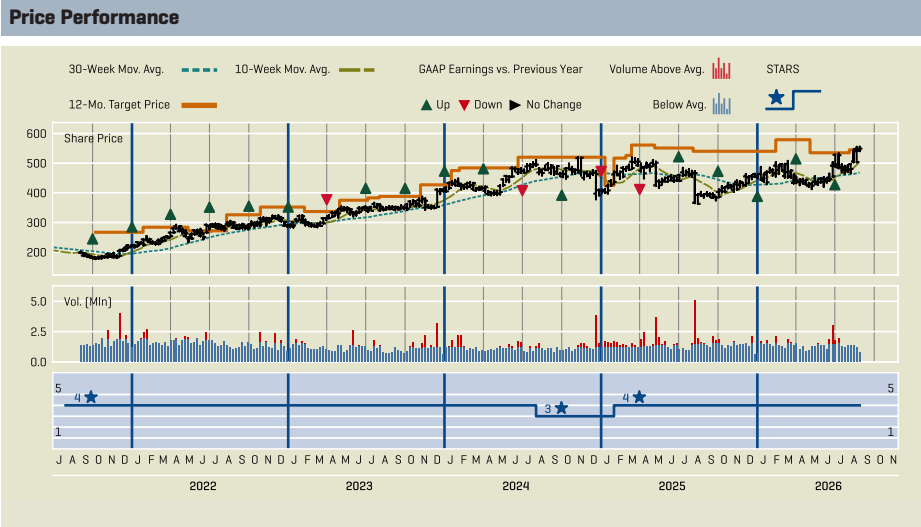
Vertex Pharmaceuticals Incorporated

|                |     |           |                                              |                     |                 |                  |
|----------------|-----|-----------|----------------------------------------------|---------------------|-----------------|------------------|
| Recommendation | BUY | ★ ★ ★ ★ ★ | Price                                        | 12-Mo. Target Price | Report Currency | Investment Style |
|                |     |           | USD 541.69 (as of market close Aug 28, 2026) | USD 545.00          | USD             | Large-Cap Blend  |

Equity Analyst Sel Hardy

|              |               |         |                                                                                                                                                        |
|--------------|---------------|---------|--------------------------------------------------------------------------------------------------------------------------------------------------------|
| GICS Sector  | Health Care   | Summary | VRTX develops small molecule therapeutics for the treatment of a wide range of diseases, led by cystic fibrosis [CF] and anti-inflammatory conditions. |
| Sub-Industry | Biotechnology |         |                                                                                                                                                        |

| Key Stock Statistics [Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports] |                     |                          |           |                            |            |                             |      |
|----------------------------------------------------------------------------------------------|---------------------|--------------------------|-----------|----------------------------|------------|-----------------------------|------|
| 52-Wk Range                                                                                  | USD 555.69 - 374.17 | Oper.EPS2026E            | USD 19.03 | Market Capitalization[B]   | USD 138.78 | Beta                        | 0.30 |
| Trailing 12-Month EPS                                                                        | USD 19.03           | Oper.EPS2027E            | USD 21.92 | Yield [%]                  | N/A        | 3-yr Proj. EPS CAGR[%]      | 10   |
| Trailing 12-Month P/E                                                                        | 28.47               | P/E on Oper.EPS2026E     | 28.47     | Dividend Rate/Share        | N/A        | SPGMI's Quality Ranking     | B-   |
| USD 10K Invested 5 Yrs Ago                                                                   | 27,619.0            | Common Shares Outstg.[M] | 253.00    | Trailing 12-Month Dividend | N/A        | Institutional Ownership [%] | 49.0 |



Source: CFRA, S&P Global Market Intelligence  
Past performance is not an indication of future performance and should not be relied upon as such.  
Analysis prepared by Sel Hardy on Aug 04, 2026 11:03 AM ET, when the stock traded at USD 470.72.

- Highlights
- VRTX delivered a strong Q2 2026 performance with revenues of \$3.33B [+12.5% Y/Y], \$110M above expectations. The company raised full-year 2026 guidance to \$13.1B-\$13.2B. CF franchise generated \$3.2B [+10.6% Y/Y], with ALYFTREK ramping to \$573.6M (+265.8% Y/Y) while TRIKAFTA/KAFTRIO declined to \$2.5B [-2.1% Y/Y]. ALYFTREK now has reimbursement in 25 countries. Non-CF products showed strong gains: CASGEVY at \$76.4M [+151.3% Y/Y] and JOURNAVX at \$49.6M [+313.3% Y/Y] with ~535,000 prescriptions in Q2. Combined non-CF revenue of \$126.0M positions the \$500M+ full-year target within reach.
  - Non-GAAP EPS of \$4.73 [+4.6% Y/Y] came slightly below consensus, reflecting a higher tax rate (21.1% vs. 19.4%) and increased SG&A investment for JOURNAVX commercialization and renal franchise development. Post-Q2 results, our EPS estimates are \$19.03 (down from \$19.40) for 2026 and \$21.92 for 2027.
  - VRTX announced the proposed acquisition of Crinetics Pharmaceuticals for ~\$10.0B in July 2026, which can add rare endocrine diseases as a fifth therapeutic pillar. Key catalysts for the remainder of the year include povetacicept PDUFA date of November 30, 2026 for IgAN and VX-828 data in 2H 2026.

- Investment Rationale/Risk
- We keep our Buy opinion on VRTX, viewing Journavx FDA approval as a positive catalyst. This non-opioid painkiller blocks peripheral pain signals without addictive potential, offering portfolio diversification and rapid uptake potential. We remain optimistic about Casgevy's long-term potential as a one-time sickle cell disease cure and see further Trikafta opportunities. The Crinetics acquisition can establish a fifth therapeutic pillar, with management believing the renal franchise could match the multi-billion CF business addressing hundreds of thousands of patients.
  - Risks include negative clinical results, unfavorable regulatory rulings, competitive threats, and pricing pressures. VRTX's valuation is increasingly tied to pipeline success, particularly the renal franchise, where failure to meet expectations for drugs like povetacicept may hurt valuations.
  - Our target price is \$545 (raised from \$535), 24.9x our 2027 EPS and a discount to VRTX's 10-year historical forward P/E average of 32.3x. We believe shares remain attractive given strong growth profile and CF leadership. We expect Casgevy to generate over \$1B by 2030, while Journavx could reach \$250M in 2026 sales, growing to \$1B by 2028-2029.

| Analyst's Risk Assessment |        |      |
|---------------------------|--------|------|
| LOW                       | MEDIUM | HIGH |

Although VRTX is a clear and dominant leader in the market for cystic fibrosis [CF] treatments and has historically maintained a strong financial position, its main reliance on sales of CF treatments precludes us from assigning it a Low risk assessment.

| Revenue/Earnings Data |         |         |         |         |          |
|-----------------------|---------|---------|---------|---------|----------|
| Revenue (Million USD) |         |         |         |         |          |
|                       | 1Q      | 2Q      | 3Q      | 4Q      | Year     |
| 2027                  | E 3,319 | E 3,453 | E 3,776 | E 3,779 | E 14,327 |
| 2026                  | 2,987   | 3,334   | E 3,368 | E 3,469 | E 13,158 |
| 2025                  | 2,770   | 2,965   | 3,076   | 3,190   | 12,001   |
| 2024                  | 2,691   | 2,646   | 2,772   | 2,912   | 11,020   |
| 2023                  | 2,375   | 2,493   | 2,484   | 2,518   | 9,869    |
| 2022                  | 2,098   | 2,196   | 2,334   | 2,303   | 8,931    |

| Earnings Per Share (USD) |        |        |        |        |         |
|--------------------------|--------|--------|--------|--------|---------|
|                          | 1Q     | 2Q     | 3Q     | 4Q     | Year    |
| 2027                     | E 5.01 | E 5.29 | E 5.25 | E 6.37 | E 21.92 |
| 2026                     | 4.47   | 4.73   | E 4.89 | E 4.94 | E 19.03 |
| 2025                     | 4.06   | 4.52   | 4.80   | 5.03   | 18.40   |
| 2024                     | 4.76   | -12.83 | 4.38   | 3.98   | 0.42    |
| 2023                     | 3.05   | 3.89   | 4.08   | 4.20   | 15.23   |
| 2022                     | 3.52   | 3.60   | 4.01   | 3.76   | 14.88   |

Fiscal Year ended Dec 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

| Dividend Data                                      |  |
|----------------------------------------------------|--|
| No cash dividends have been paid in the last year. |  |

# Vertex Pharmaceuticals Incorporated

## Business Summary Aug 04, 2026

Corporate Overview. Vertex Pharmaceuticals (VRTX) is a biotech firm focused on developing and commercializing therapies for the treatment of cystic fibrosis (CF). In 2024, most of VRTX's product revenues came from sales of CF therapies. In recent years, VRTX also advanced research and development in other areas, including pain, sickle cell disease, beta-thalassemia, and alpha-1 antitrypsin deficiency. We believe that these programs have significant commercial potential. We think VRTX's program with CRISPR Therapeutics to develop Casgevy for sickle cell disease and beta-thalassemia is unique as it was one of the first human trials to use the powerful CRISPR/Cas-9 gene-editing technology.

Market Background. CF is a life-shortening genetic disease affecting approximately 83,000 people across North America, Europe, and Australia. CF is caused by a defective or missing CFTR protein resulting from mutations in the CFTR gene. The absence of working CFTR proteins results in poor flow of salt and water into and out of cells in a number of organs, including the lungs. As a result, thick, sticky mucus builds up and blocks the passages in many organs, leading to a variety of symptoms. In particular, mucus builds up and clogs the airways in the lungs, causing chronic lung infections and progressive lung damage.

VRTX's commercialized medicines include Symdeko/Symkevi, Orkambi, Kalydeco, and Trikafta/Kaftrio. Since the late 2019 launch of Trikafta, many patients that were previously on VRTX's other CF therapies have switched over to Trikafta. Collectively, VRTX's four CF drugs are approved to treat a large majority of CF patients in North America, Europe, and Australia. VRTX believes that its current therapies could address up to 90% of all CF patients. The company is pursuing genetic therapies to address the remaining population with CF.

Competitive Dynamics. A number of firms are seeking to identify and develop drug candidates for the treatment of CF, including public companies such as AbbVie, Elox Pharmaceuticals, and Yumanity Therapeutics, as well as several private companies. Given VRTX's dominance in the market for CF treatments, we believe that the company's sales would face significant pressure if a competing therapy were successfully developed. In recent years, VRTX has committed significant research resources to and made significant investments in its pipeline of potential new therapies for alpha-1 antitrypsin deficiency, APOL1-mediated kidney diseases, pain, beta-thalassemia, sickle cell disease, muscular dystrophy, T1D, and other diseases. Many other pharmaceutical and biotechnology companies are also investing resources for the discovery and development of small molecules, gene therapies, and cell therapies to treat the same diseases for which VRTX is developing therapies.

Impact of Major Developments. In May 2024, VRTX acquired Alpine Immune for \$4.9B, focused on the discovery and development of innovative, protein-based immunotherapies. Alpine's key asset povetacept (ALPN-303) showed promising results in clinical studies for IgAN, an autoimmune disease with no approved cure, affecting 130K patients in the U.S. We think the deal complements VRTX's rare disease portfolio.

In 2019, VRTX's triple combination therapy of VX-445, tezacaftor, and ivacaftor for CF [i.e., Trikafta] was approved by the FDA. This drug significantly expanded VRTX's market opportunity to about 90% of the CF population, up from an estimated 58% of the CF population that was previously treatable with VRTX's therapies. The key patents for Trikafta are expected to expire in 2037 in both the U.S. and Europe. The largest development prior to VRTX's triple combination therapy was the launch of SYMDEKO in the U.S. in 2018. Prior to that, in July 2015, VRTX received FDA approval for Orkambi to treat the underlying causes of CF in patients 12 and older with the F580del mutation. This approval was a significant milestone for VRTX because it enabled VRTX to become the clear market leader for the treatment of CF. VRTX subsequently obtained additional approvals for Orkambi to treat additional subsets of the CF patient population.

The FDA approved Casgevy, developed with CRISPR Therapeutics, for the treatment of severe sickle cell disease, on December 8, 2023 for people aged 12 years and above. The therapy was also approved in the U.K. in November 2023 and subsequently in a number of other countries. We are also encouraged by Casgevy's expanded potential following the January 2024 U.S. FDA approval of Casgevy for transfusion-dependent beta thalassemia (TDT), a rare blood disease, in patients 12 years and older. Yet, we think the near-term interest will be on Casgevy's successful launch globally, which may be slower than expected.

The regulatory approval of once-daily vanzacaftor triple in the U.S. for CF took place in December 2024, in line with expectations. VRTX has also filed for regulatory approval in other key markets.

In January 2025, the FDA approved Suzetrigine, branded as Journavx, which is a new type of non-opioid type of painkiller for the treatment of adults with moderate-to-severe acute pain. We think Journavx can have a large addressable population as 80M people in America use a prescription drug for the treatment of severe to acute pain. Journavx can also be a serious alternative to opioids, which can result in rapid uptake and fast market share gain. Vertex estimates Journavx, to be a multi-billion dollar commercial opportunity. Based on strong clinical data releases, we also see a solid revenue potential.

Financial Trends. VRTX reported a solid 2025 performance, with revenue growth of 9% Y/Y, driven by its dominant CF franchise and growing contributions from new products. The company is successfully diversifying its revenue streams with its new therapies, including Casgevy for sickle cell disease and beta-thalassemia, which generated \$116M in full year sales, and Journavx for acute pain [\$60M in sales in its first eight months]. For 2026, we see total revenues rising by a robust and healthy 8.5% Y/Y as we see Casgevy and Journavx sales growth accelerating.

## Corporate information

|                                                                   |                                                                     |
|-------------------------------------------------------------------|---------------------------------------------------------------------|
| <b>Investor contact</b><br>S. Lisa [617 341 6100]                 |                                                                     |
| <b>Office</b><br>50 Northern Avenue, Boston, Massachusetts, 02210 |                                                                     |
| <b>Telephone</b><br>617 341 6100                                  |                                                                     |
| <b>Fax</b><br>N/A                                                 |                                                                     |
| <b>Website</b><br>www.vrtx.com                                    |                                                                     |
| <b>Officers</b>                                                   |                                                                     |
| <b>Senior VP &amp; Chief Accounting Officer</b><br>K. C. Ambrose  | <b>EVP, Chief Legal Officer &amp; Corporate Secretary</b><br>J. Liu |
| <b>CEO, President &amp; Director</b><br>R. Kewalramani            | <b>Executive VP, COO &amp; CFO</b><br>C. F. Wagner                  |
| <b>Executive Chairman</b><br>J. M. Leiden                         |                                                                     |
| <b>Board Members</b>                                              |                                                                     |
| A. M. Garber                                                      | L. A. Carney                                                        |
| B. I. Sachs                                                       | M. Lagarde                                                          |
| D. L. McKenzie                                                    | N. A. Thornberry                                                    |
| J. M. Leiden                                                      | R. Kewalramani                                                      |
| J. Schneider                                                      | S. N. Bhatia                                                        |
| <b>Domicile</b><br>Massachusetts                                  | <b>Auditor</b><br>Ernst & Young LLP                                 |
| <b>Founded</b><br>1989                                            |                                                                     |
| <b>Employees</b><br>6,400                                         |                                                                     |
| <b>Stockholders</b><br>94                                         |                                                                     |



# Vertex Pharmaceuticals Incorporated

## Sub-Industry Outlook

We have a neutral 12-month outlook on the biotechnology sub-industry. We remain positive on the sub-industry's continuous focus on transformational innovation in supporting long-term growth. We see aging population and rising life expectancy as key drivers fueling the sub-industry's growth and driving strong demand for treatments. We also think that a number of small- and medium-sized biotech firms are well insulated from revenue risks stemming from the Inflation Reduction Act (IRA). However, small- and medium-sized firms with few and volatile revenue streams may see near-term risks rising in a fluid economic and policy environment. At the same time, patent cliff concerns among large biopharma companies resulted in a deal-heavy Q1 2026, benefiting investor sentiment around smaller-cap biotechs. Yet, the sub-industry is undergoing significant regulatory change with new leadership in key U.S. agencies and evolving trade and pricing policies that are reshaping the operating environment and increasing near-term uncertainties.

In December 2025, nine large biopharma firms reached a deal with the U.S. government to lower drug prices; from our U.S. biotech coverage, two companies – AMGN and GILD – took part. Accordingly, these firms will be exempt from tariffs for three years, a key positive, while they reduce prices on some of their popular drugs, price new medicines at parity with other key developed countries and continue investing in R&D in the U.S. In January 2026, ABBV also announced a three-year agreement with the administration to improve drug access and affordability in exchange for exemptions from tariffs and future pricing mandates. Under the agreement, ABBV will provide lower prices in Medicaid, expand direct-to-patient offerings through TrumpRx for key medicines (including Humira and Synthroid), and commit \$100 B in U.S.-based R&D and manufacturing investments over the next decade.

The Inflation Reduction Act (IRA) allows Medicare to negotiate prices for the costliest drugs covered in Part B and D. Two U.S. biotech firms' drugs have discounts on their 2023 list prices starting in 2026

from the initial pricing negotiations: [1] Enbrel by AMGN and [2] Imbruvica, co-developed by ABBV and JNJ. In January 2025, the next 15 drugs subject to negotiations with Medicare were released, with negotiated prices set to take effect in 2027. Two U.S. biotech companies, ABBV and AMGN, had drugs on the list (Vraylar, Linzess, and Otezla), and they will see discounts of 44% to 75%. In January 2026, the CMS announced 15 drugs selected for the third cycle, which marks the first inclusion of Part B drugs (physician-administered drugs), expanding beyond Part D retail pharmacy drugs covered in previous rounds. Two U.S. biotech firms, Gilead (Biktarvy) and AbbVie (Botox/Botox Cosmetic), have drugs on the list.

The sub-industry's growth depends on the volume of new therapy approvals. The number of approvals hit a high-water mark in 2018 (61), although 2019-2021 levels were in the range of 75%-90% of the peak. In 2025, the FDA approved 46 new molecular entities (2024: 50) under New Drug Applications (NDAs), or as new therapeutic biological products under Biologics License Applications (BLAs).

As of May 8, 2026, the S&P Composite 1500 Biotechnology Index [-1.9% YTD] outperformed the S&P Composite 1500 Health Care Index [-6.7% YTD] but underperformed the S&P Composite 1500 [+8.4% YTD].

/ Sel Hardy

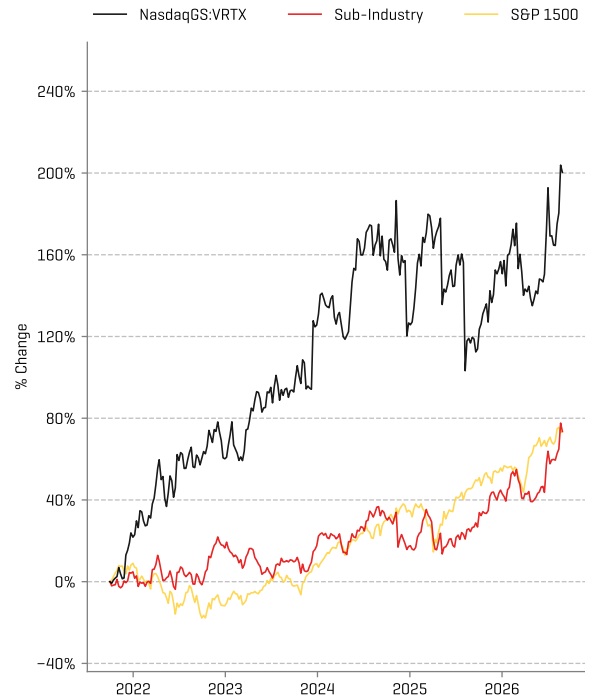
## Industry Performance

### GICS Sector: Health Care

### Sub-Industry: Biotechnology

Based on S&P 1500 Indexes

Five-Year market price performance through Aug 29, 2026



NOTE: A sector chart appears when the sub-industry does not have sufficient historical index data.

All Sector & Sub-Industry information is based on the Global Industry Classification Standard (GICS).

Past performance is not an indication of future performance and should not be relied upon as such.

Source: CFRA, S&P Global Market Intelligence

## Sub-Industry: Biotechnology Peer Group\*: Biotechnology

| Peer Group                                 | Stock Symbol | Exchange        | Currency   | Recent Stock Price | Stk. Mkt. Cap. [M] | 30-Day Price Chg. [%] | 1-Year Price Chg. [%] | P/E Ratio   | Fair Value Calc. | Yield [%]  | Return on Equity [%] | LTD to Cap [%] |
|--------------------------------------------|--------------|-----------------|------------|--------------------|--------------------|-----------------------|-----------------------|-------------|------------------|------------|----------------------|----------------|
| <b>Vertex Pharmaceuticals Incorporated</b> | <b>VRTX</b>  | <b>NasdaqGS</b> | <b>USD</b> | <b>547.55</b>      | <b>138,783.0</b>   | <b>11.7</b>           | <b>40.7</b>           | <b>29.0</b> | <b>454.07</b>    | <b>N/A</b> | <b>23.5</b>          | <b>N/A</b>     |
| Alnylam Pharmaceuticals, Inc.              | ALNY         | NasdaqGS        | USD        | 236.56             | 31,654.0           | -18.0                 | -47.9                 | 30.0        | 148.05           | N/A        | 96.6                 | 56.9           |
| Amgen Inc.                                 | AMGN         | NasdaqGS        | USD        | 436.99             | 236,251.0          | 11.2                  | 51.8                  | 20.0        | 433.25           | 2.3        | 91.5                 | 75.2           |
| BeOne Medicines AG                         | ONC          | NasdaqGS        | USD        | 372.49             | 42,353.0           | 12.7                  | 24.1                  | 67.0        | N/A              | N/A        | 14.7                 | 23.5           |
| BioNTech SE                                | BNTX         | NasdaqGS        | USD        | 111.40             | 27,984.0           | 20.5                  | 8.1                   | NM          | N/A              | N/A        | -9.3                 | 0.6            |
| Biogen Inc.                                | BIIB         | NasdaqGS        | USD        | 221.50             | 32,728.0           | 7.7                   | 62.4                  | 16.0        | 209.05           | N/A        | 4.6                  | 26.8           |
| Gilead Sciences, Inc.                      | GILD         | NasdaqGS        | USD        | 148.86             | 184,580.0          | 10.8                  | 30.7                  | NM          | N/A              | 2.2        | -20.7                | 62.7           |
| Moderna, Inc.                              | MRNA         | NasdaqGS        | USD        | 142.77             | 56,999.0           | 155.8                 | 468.8                 | NM          | N/A              | N/A        | -39.0                | 7.3            |
| Natera, Inc.                               | NTRA         | NasdaqGS        | USD        | 338.70             | 48,822.0           | 34.3                  | 107.7                 | NM          | N/A              | N/A        | -12.5                | N/A            |
| Regeneron Pharmaceuticals, Inc.            | REGN         | NasdaqGS        | USD        | 807.71             | 80,654.0           | 16.2                  | 37.6                  | 17.0        | 832.24           | 0.5        | 14.0                 | 5.8            |
| Revolution Medicines, Inc.                 | RVMD         | NasdaqGS        | USD        | 221.15             | 47,400.0           | 20.3                  | 481.4                 | NM          | N/A              | N/A        | -79.1                | 27.3           |

\*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.

NA-Not Available; NM-Not Meaningful.

Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

# Vertex Pharmaceuticals Incorporated

## Analyst Research Notes and other Company News

### August 04, 2026

11:03 AM ET... CFRA Keeps Buy Rating on Shares of Vertex Pharmaceuticals Incorporated [VRTX 470.72\*\*\*\*]:  
We lift our target price to \$545 from \$535, 24.9x our 2027 EPS, a discount to VRTX's 10-year historical forward P/E average of 32.3x. We lower our 2026 EPS view to \$19.03 from \$19.40. We keep our 2027 EPS estimate at \$21.92. VRTX delivered a strong Q2, marked by a 12% Y/Y revenue increase to \$3.3B, fueled by its robust cystic fibrosis [CF] franchise and accelerating growth from new products. The company demonstrated significant progress across its pipeline and commercial operations, leading to an upward revision of its full-year 2026 revenue guidance to between \$13.1B and \$13.2B. A key strategic highlight is the recently announced acquisition of Crinetics Pharmaceuticals, a move that can establish a fifth therapeutic pillar for Vertex in rare endocrine diseases. Q2 also saw important regulatory and clinical milestones, including the FDA's acceptance of the filing for povetacept in IgA nephropathy [IgAN] and the clearance to begin trials for a universal donor cell therapy for type-1 diabetes [T1D]. / Sel Hardy

### August 03, 2026

05:07 PM ET... VRTX Reports Strong Q2 Sales, Exceeding Expectations, Raises Full-Year Guidance [VRTX 477.10\*\*\*\*]:  
Vertex delivered strong Q2 results with total revenues of \$3.33B [+12.5% Y/Y], \$110M above expectations, driven by CF franchise momentum and step-up in CASGEVY and JOURNAVX contributions. Non-GAAP EPS of \$4.73 [+4.6% Y/Y] came slightly below consensus \$4.75, reflecting performance moderated by higher tax rates and S&G&A investment. CASGEVY and JOURNAVX demonstrated strong sequential acceleration, reinforcing the diversification thesis, in our view, with combined non-CF revenue of \$126.0M placing the \$500M+ full-year target within reach. The company raised full-year 2026 revenue guidance to \$13.1B-\$13.2B and announced a \$10.0B acquisition of Crinetics to add rare endocrine diseases as a fifth commercial pillar. The CF franchise remains healthy with ALYFTREK generating \$573.6M [+265.8% Y/Y] while TRIKAFTA/KAFTRIO declined to \$2.5B, marking its first Y/Y decline. Near-term catalysts include povetacept PDUFA date of November 30, 2026 for IgAN and VX-828 proof-of-concept data in H2 2026. / Sel Hardy

### May 04, 2026

07:35 PM ET... CFRA Retains Buy Rating on Shares of Vertex Pharmaceuticals Incorporated [VRTX 429.85\*\*\*\*]:  
After Q1 results, we lower our target price to \$535 from \$579, 24.4x our 2027 EPS, a discount to VRTX's 10-year historical forward P/E average. We maintain our 2026 EPS view of \$19.40 and our 2027 EPS estimate at \$21.92. VRTX's Q1 2026 was marked by robust revenue growth, successful commercial execution of new products, and significant progress in its clinical pipeline, particularly in the renal space. The company's CF franchise remains the primary revenue driver, while new products like Casgevy and Gernavics are beginning to contribute meaningfully to growth, accounting for approximately 25% of the total product revenue growth in Q1. Pipeline advancement remains robust, in our view, with the completion of the rolling BLA submission for povetacept in IgA nephropathy representing a significant regulatory milestone. Using a Priority Review Voucher, VRTX expects an expedited six-month FDA review timeline, which is encouraging. / Sel Hardy

### May 04, 2026

04:52 PM ET... Vertex Reports Mixed Q1, Reaffirms Full-Year 2026 Financial Guidance [VRTX 423.92\*\*\*\*]:  
Vertex delivered mixed Q1 results with revenue of \$2.99B [+8% Y/Y] falling \$10M short of expectations, though non-GAAP EPS of \$4.47 [+10% Y/Y] beat the consensus by \$0.16. The quarter demonstrated successful execution of VRTX's multi-product launch strategy, with ALYFTREK generating \$424.4M [vs. \$53.9M prior year], CASGEVY contributing \$42.9M [+202% Y/Y], and JOURNAVX adding \$29.0M in its second commercialization year. Recent FDA label extensions for ALYFTREK and TRIKAFTA expanded CF patient eligibility to ~95% in the U.S., adding roughly 800 more patients. VRTX maintained its 2026 guidance unchanged with total revenue expectations of \$12.95B-\$13.1B and non-CF product revenue of \$500M or greater. We view the operating leverage positively, with revenue growth outpacing expense increases, and believe the diversification strategy beyond CF continues to gain traction with meaningful contributions from newly launched therapies across multiple therapeutic areas. / Sel Hardy

### February 13, 2026

03:44 PM ET... CFRA Retains Buy Rating on Shares of Vertex Pharmaceuticals Incorporated [VRTX 499.55\*\*\*\*]:  
After reviewing Q4 results, we raise our target price to \$579 from \$540, 26.4x our new 2027 EPS, a discount to VRTX's 10-year historical forward P/E average. We lower our 2026 EPS view to \$19.40 from \$20.72 and initiate our 2027 EPS estimate at \$21.92. Vertex reported a strong fourth quarter and full-year 2025, with revenue growth of 10% Y/Y and 9% Y/Y, respectively, driven by its dominant cystic fibrosis [CF] franchise and growing contributions from new products. The company is successfully diversifying its revenue streams with its new therapies, CASGEVY for sickle cell disease and beta-thalassemia, which generated \$116M in full year sales, and JOURNAVX for acute pain (\$60M in sales in its first eight months). We are also encouraged by the emerging renal franchise, led by povetacept for IgA nephropathy [IgAN], which could be a key future growth engine as VRTX is preparing for its near-term commercialization. For 2026, we see total revenues rising by a robust and healthy 8.5% Y/Y. / Sel Hardy

### February 12, 2026

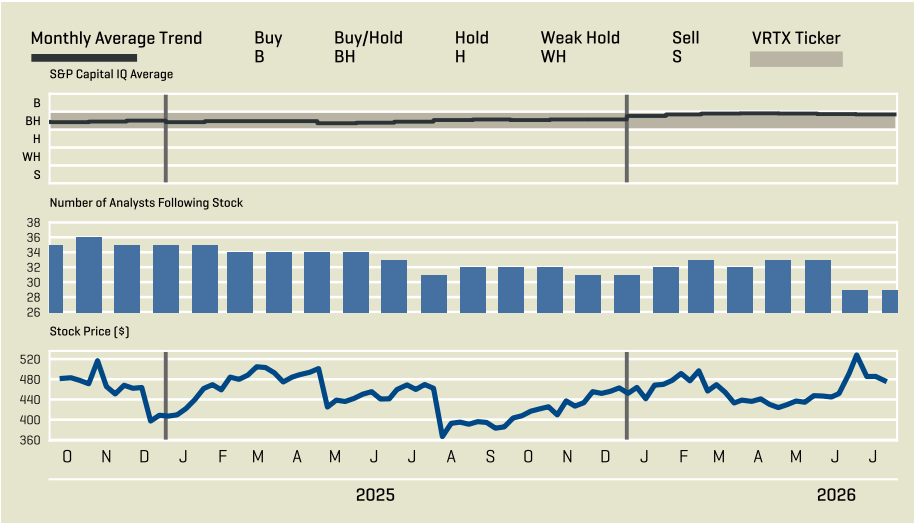
04:49 PM ET... VRTX Posts Mixed Q4 Results, Pipeline Advances With Multiple Catalysts [VRTX 461.24\*\*\*\*]:  
Vertex delivered solid Q4 results with revenue of \$3.19B [+10% Y/Y], beating consensus estimate of \$3.17B, though EPS of \$5.03 [+26% Y/Y] missed estimates of \$5.15. Full-year 2025 non-GAAP EPS dramatically improved to \$18.40 from \$0.42 in 2024, primarily due to the absence of \$4.4B Alpine AI&PR&D expenses. The quarter demonstrated successful execution of VRTX's multi-product launch strategy, with ALYFTREK generating \$380.1M, CASGEVY contributing \$54.3M [+579% Y/Y], and JOURNAVX adding \$26.7M in its first full commercialization year. VRTX provided 2026 revenue guidance of \$12.95B-\$13.1B, in line with the consensus view of \$13B, expecting \$500M or more from non-CF products. We view the pipeline positively with multiple near-term catalysts, including Povetacept biologics license application [BLA] completion expected in 1H 2026 for IgAN treatment. ALYFTREK showed strong results with 65% of 2-5 year olds reaching normal sweat chloride values, positioning for 1H 2026 regulatory submissions, in our view. / Sel Hardy

### November 03, 2025

06:25 PM ET... CFRA Keeps Buy Rating on Shares of Vertex Pharmaceuticals [VRTX 426.00\*\*\*\*]:  
We keep our target at \$540, 26.1x our 2026 EPS, a discount to VRTX's 10-year historical forward P/E average. We raise our 2025 EPS view to \$18.37 from \$18.27 to reflect the Q3 beat. We keep our 2026 EPS view at \$20.72. VRTX delivered solid Q3 results, with total sales up a robust 11% Y/Y, above expectations, demonstrating continued execution of its diversification strategy beyond cystic fibrosis [CF], while maintaining leadership in its core franchise. The quarter also highlighted successful execution of VRTX's multi-product launch strategy, in our view. Alyftrek [to treat kids 6+ with CF] posted a strong performance, reflecting solid uptake across patient groups in the U.S. and early momentum in international markets. Meanwhile, the novel gene-editing therapy, Casgevy, continued its rollout, with \$16.9M in revenue and 165 patients having undergone cell collection since launch, while Journavx showed early traction, with \$19.6M in sales and over 300,000 prescriptions written since becoming available in March. / Sel Hardy

Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

Analysts Recommendations



|            | No. of Recommendations | % of Total | 1 Mo.Prior | 3 Mos.Prior |
|------------|------------------------|------------|------------|-------------|
| Buy        | 19                     | 66         | 19         | 21          |
| Buy/Hold   | 4                      | 14         | 4          | 6           |
| Hold       | 4                      | 14         | 4          | 5           |
| Weak hold  | 1                      | 3          | 1          | 0           |
| Sell       | 1                      | 3          | 1          | 1           |
| No Opinion | 0                      | 0          | 1          | 0           |
| Total      | 29                     | 100        | 30         | 33          |

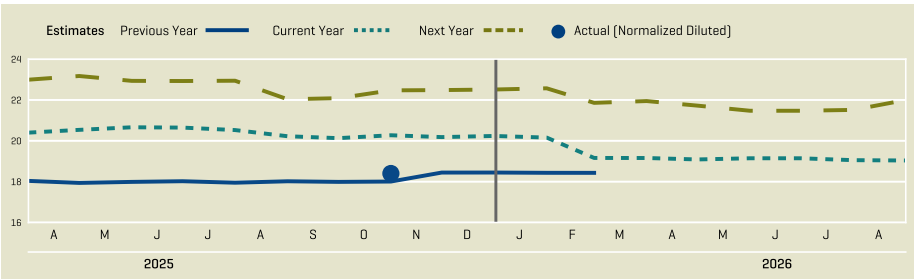
Wall Street Consensus Opinion

Buy/Hold

Wall Street Consensus vs. Performance

For fiscal year 2026, analysts estimate that VRTX will earn USD 19.04. For fiscal year 2027, analysts estimate that VRTX's earnings per share will grow by 15.55% to USD 22.00.

Wall Street Consensus Estimates



| Fiscal Year     | Avg Est. | High Est. | Low Est. | # of Est. | Est. P/E |
|-----------------|----------|-----------|----------|-----------|----------|
| 2027            | 22.00    | 23.87     | 20.05    | 13        | 24.89    |
| 2026            | 19.04    | 19.53     | 18.71    | 13        | 28.76    |
| 2027 vs. 2026   | ▲ 16%    | ▲ 22%     | ▲ 7%     | N/A%      | ▼ -13%   |
| Q3'27           | 5.64     | 5.82      | 5.47     | 2         | 97.00    |
| Q3'26           | 4.92     | 5.18      | 4.66     | 12        | 111.30   |
| Q3'27 vs. Q3'26 | ▲ 15%    | ▲ 12%     | ▲ 17%    | ▼ -83%    | ▼ -13%   |

Forecasts are not reliable indicator of future performance.  
Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.  
**Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.**

# Vertex Pharmaceuticals Incorporated

## Glossary

### STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs [American Depositary Receipts], and ADSs [American Depositary Shares] based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS [Stock Appreciation Ranking System], equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark [e.g., a regional index [MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index]], based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

### S&P Global Market Intelligence's Quality Ranking

[also known as **S&P Capital IQ Earnings & Dividend Rankings**] - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsule the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

|               |                     |
|---------------|---------------------|
| A+ Highest    | B Below Average     |
| A High        | B- Lower            |
| A Above       | C Lowest            |
| B+ Average    | D In Reorganization |
| NC Not Ranked |                     |

### EPS Estimates

CFRA's earnings per share [EPS] estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus [average] EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

### 12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics.

### Abbreviations Used in Equity Research Reports

CAGR - Compound Annual Growth Rate  
 CAPEX - Capital Expenditures  
 CY - Calendar Year  
 DCF - Discounted Cash Flow  
 DDM - Dividend Discount Model  
 EBIT - Earnings Before Interest and Taxes  
 EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization  
 EPS - Earnings Per Share  
 EV - Enterprise Value  
 FCF - Free Cash Flow  
 FFO - Funds From Operations  
 FY - Fiscal Year  
 P/E - Price/Earnings  
 P/NAV - Price to Net Asset Value  
 PEG Ratio - P/E-to-Growth Ratio  
 PV - Present Value  
 R&D - Research & Development  
 ROCE - Return on Capital Employed  
 ROE Return on Equity  
 ROI - Return on Investment  
 ROIC - Return on Invested Capital  
 ROA - Return on Assets  
 SG&A - Selling, General & Administrative Expenses  
 SOTP - Sum-of-The-Parts  
 WACC - Weighted Average Cost of Capital

**Dividends on American Depositary Receipts (ADRs) and American Depositary Shares (ADSs) are net of taxes [paid in the country of origin].**

### Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

### STARS Ranking system and definition:

#### ★★★★★ 5-STARS (Strong Buy):

Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

#### ★★★★★ 4-STARS (Buy):

Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

#### ★★★★★ 3-STARS (Hold):

Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

#### ★★★★★ 2-STARS (Sell):

Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

#### ★★★★★ 1-STAR (Strong Sell):

Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

### Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.



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## Disclosures

Stocks are ranked in accordance with the following ranking methodologies:

### STARS Stock Reports:

Qualitative STARS rankings are determined and assigned by equity analysts. For reports containing STARS rankings refer to the Glossary section of the report for detailed methodology and the definition of STARS rankings.

### Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five (six) model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section of the report for detailed methodology and the definition of Quantitative rankings.

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### STARS Stock Reports:

Global STARS Distribution as of June 30, 2026

| Ranking | North America | Europe | Asia   | Global |
|---------|---------------|--------|--------|--------|
| Buy     | 44.8%         | 47.5%  | 50.5%  | 46.7%  |
| Hold    | 42.1%         | 41.1%  | 44.5%  | 42.4%  |
| Sell    | 13.1%         | 11.3%  | 5.0%   | 10.9%  |
| Total   | 100.0%        | 100.0% | 100.0% | 100.0% |

### Analyst Certification:

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